

ARES COMMERCIAL REAL ESTATE ACRE

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by JackBlack

			2026	2027
Price:	4.62	EPS	0.47	0.60
Shares Out. (in M):	55	P/E	10	8
Market Cap (in \$M):	256	P/FCF	10	8
Net Debt (in \$M):	1,186	EBIT	0	0
TEV (in \$M):	1,442	TEV/EBIT	NA	NA

Description

Ares Commercial Real Estate (ACRE) is a mortgage REIT that is focused on commercial real estate (CRE) loans. It is externally managed by Ares Management (ARES), which has seemingly been a great manager of everything except this vehicle. ACRE is a Buffett-style cigar butt. It trades at ~50% of tangible book value, despite having the lowest leverage and highest loan loss reserves in its peer group. The stock is so cheap that it is hard to imagine any material downside, yet it is easy to see 30%+ upside from here. I see three reasons why the upside case is likely:

1. CRE loan demand appears to be inflecting. I provide evidence of this herein. A better market will create opportunities for ACRE to originate new assets and take advantage of its underlevered balance sheet.
2. ACRE is working to resolve two deeply-distressed credits that are not accruing income. These happen to be its two largest loans, and I analyze them in detail below. Exiting these troubled credits and redeploying the proceeds would produce \$0.02-\$0.06 (+17% to +50%) in incremental quarterly distributable EPS ("DEPS") for ACRE.
3. The combination of 1) and 2) above can take ACRE from underearning its \$0.15 quarterly dividend to fully covering or exceeding it, thereby making its current 13% dividend yield sustainable, and rendering its current valuation absurdly cheap.

I disclaim, at the outset, that I generally dislike externally-managed vehicles, but the performance here has been consistently terrible. ARES should be terminated by ACRE's board, but I assume that will not happen. Regardless, ARES should be embarrassed by its ineptitude and either work diligently to improve ACRE's performance or otherwise make it go away (see recent liquidation of Apollo's similar vehicle, ARI). Either outcome would be great for shareholders at the current price.

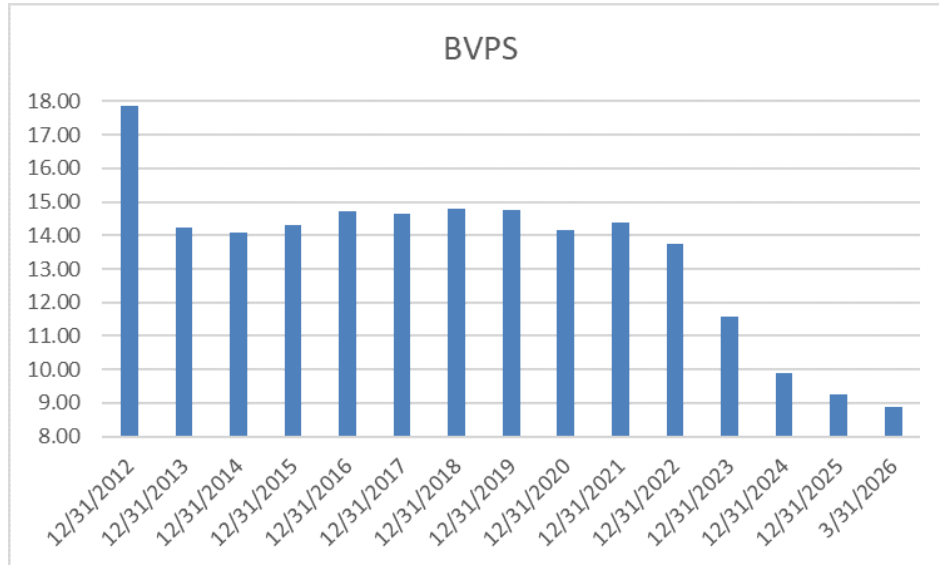


Background: Following its enormous success with business development company ARCC, ARES took ACRE public in 2012 at a price of \$18.50 per share. ACRE raised only ~\$150MM in its IPO, which left it subscale and competitively disadvantaged from day one. ARES realized this fairly quickly and returned for a "re-IPO" of the business the following year, raising ~\$250MM at a price of \$13.50—a serious down round. This sequence of events gave ACRE the critical mass to operate a CRE lending business, but it left ARES in the penalty box for several years, as many early investors felt like the dilutive follow-on offering was a betrayal of trust. In 2020, ACRE finally managed to get its stock price back above \$16, which, while below the IPO price, was a premium to its then-current book value. It completed four more small follow-on offerings between 2020 and 2022. The ZIRP environment was positive for ACRE's market valuation and origination activity, but it left the company exposed when the bond market turned in 2022. ACRE has been dealing with sluggish originations and credit issues ever since.

As referenced above, ARES has done a poor job of managing this business since its inception. Book value per share (BVPS) has halved (see Exhibit 1), and the stock is down 75% over the same time frame. ACRE is on its fifth CEO. I cannot explain how ARES has done such an admirable job managing ARCC and myriad other portfolios over two decades yet has failed so miserably in this case. CRE was not in ARES' DNA in the early days, and it acquired its way into the CRE lending business. The acquired businesses formed the basis for ACRE, and the managers who came with it were not particularly talented or motivated. ACRE eventually hired a strong manager in Todd Schuster, but it took yet another blow when he resigned in 2015. I never met Jamie Henderson, but his legacy is the credit issues with which ACRE has dealt for the last three years. The current CEO, Bryan Donohoe, has a real CRE credit background and seems focused

and sensible, but he has yet to turn the ship. Based on my recent due diligence, I am optimistic that he will.

Exhibit 1 - ACRE's Historical Book Value per Share



Source: Bloomberg

As shown in Exhibit 2, there are 5-10 commercial mortgage REITs ("CMREITs") that are comparable to ACRE. There are two notable differences between ACRE and the rest of the pack. The first is ACRE's relatively low leverage. Having its two largest assets on non-accrual status has hindered ACRE's ability to obtain leverage on favorable terms, but it creates the opportunity for the company to optimize its capital structure when it recycles these troubled assets into new, performing loans. Until then, ACRE's lower leverage makes it less susceptible to further book-value erosion than other CMREITs. The second notable difference is ACRE's relatively high reserve ratio. ACRE has been far more proactive than peers about recognizing the stress in its portfolio by building reserves. While there may be more loss content embedded in all of the CMREIT portfolios, ACRE appears better positioned to absorb such losses than others. ACRE's combination of low leverage and high reserves is a source of downside protection for the stock.

Exhibit 2 - CMREIT Comparison

Ticker	Mgmt Structure	Closing Price	GAAP TBV* 3/31/2026	P/TBV	Total Assets 3/31/2026	Liabilities/ Equity	Reserves as % of Loans	REO as % of Assets	Dividend Yield
STWD	External	17.00	18.97	0.90x	29,687,516	3.60	2.02%	3.5%	11.29%
BXMT	External	17.08	20.20	0.85x	19,629,808	4.75	1.66%	5.9%	11.01%
ABR	Internal	5.18	10.72	0.48x	14,250,307	3.93	1.10%	3.5%	13.13%
KREF	External	7.29	11.87	0.61x	6,950,095	5.29	5.29%	6.8%	5.49%
FBRT	External	8.16	14.58	0.56x	6,128,664	4.66	1.07%	4.6%	9.80%
LADR	Internal	10.04	13.42	0.75x	5,606,678	2.88	1.81%	1.4%	9.16%
TRTX	External	8.75	11.06	0.79x	4,472,255	3.21	1.79%	5.0%	10.97%
BRSP	Internal	5.49	8.24	0.67x	3,647,848	2.99	3.13%	6.9%	11.66%
ACRE	External	4.62	8.89	0.52x	1,836,304	2.73	8.40%	7.1%	12.99%
Average				0.68x		3.78	2.92%	4.97%	10.61%

*STWD, BRSP, LADR are shown as undepreciated book value

Source: Company filings, Bloomberg, and Citizens JMP Securities

ACRE's credit issues have consumed most of the attention from shareholders for many quarters. Like most CMREITs, ACRE rates its loans on a 1-5 scale,

where 5 represents a distressed or defaulted loan. ACRE has 16% of its portfolio (by carrying value) in loans rated 4-5. See Exhibit 3 for details on ACRE's troubled loans. Low-rated credits, alone, are extremely high, but ACRE has a further 7% of its portfolio in foreclosed assets, known as REO. Thus, 23% of ACRE's current portfolio consists of troubled assets. This has manifested in a low overall portfolio yield, as a large portion of the portfolio is not accruing interest. Interest income is the primary source of revenue for ACRE, so the low portfolio yield has hurt ACRE's DEPS and dividend coverage. Earnings power is a real issue for ACRE that must be addressed, but it is notable that ACRE has less than \$3.00 per share of exposure to 4- and 5-rated loans, but it trades at a \$4.27 discount to its most recent tangible BVPS. ACRE could write off all four of these loans entirely and still trade at less than 80% of its BVPS.

Exhibit 3 - ACRE 4- and 5-Rated Loans

Asset	UPB	Carrying Value	Reserve Rate	Reserve \$	Net exposure	Exposure/share	Accrual	Rating
Chicago Office	167.6	138.0	42%	70.3	67.7 \$	1.22	No	5
NY Resi/Condo	179.8	136.5	27%	48.5	88.0 \$	1.59	No	4
AZ Office	8.5	8.4	22%	1.9	6.5 \$	0.12	Yes	4
CA Industrial (Other)	12.6	10.9	69%	8.7	2.2 \$	0.04	No	4
	368.5	293.8	35%	129.4	164.4 \$	2.97		

Source: Company filings

Opportunity: I have explained now why ACRE finds itself in the current predicament, with DEPS below its dividend, a quarter of its portfolio in some form of distress, and the stock trading at ~50% of its BVPS. To see an inflection in the recent trends, we first need to see stability in credit. With no migration of credits into loan ratings of 4 or 5 for the last three quarters, we can reasonably believe that credit has stabilized. Next, we need to see resolution of troubled assets and redeployment into new, performing credits. Both of these require a healthy CRE transaction and lending market. It appears that we now have both.

MSCI Real Capital Analytics showed 15% Y/Y growth in CRE transaction volume in May 2026, and 25% growth over the last 12 months (+20% excluding data centers). Pricing is up Y/Y.

Lending to CRE transactions also appears to have reached a positive inflection point. The largest banks in the US reported earnings over the last few days, and here are some of the comments about CRE loan demand from their 2Q26 conference calls:

"As far as loan growth, we inflected in the first quarter for the first time after I don't know how many quarters of declines, and we see that continuing...In fact, the pipelines are forming in commercial real estate in a very constructive way across all the categories...So we would expect commercial real estate to be a bigger component of our loan growth going forward." - PNC CFO Rob Reilly

"We also returned to CRE growth with average balances increasing for the first time since 2021, excluding acquisitions...we're pretty optimistic on the CRE growth headed here now and feel good that it's going to be a good contributor to earning asset growth for the company." - MTB CFO Daryl Bible

"The pipelines continue to look very good, particularly on the commercial and commercial real estate side. Commercial real estate saw some nice uptick this quarter. We continue to see that improve." - USB CFO John Stern

With market conditions becoming more favorable, I believe that ACRE will resolve its two largest troubled credits in the next few quarters. The first is ACRE's Chicago office loan, which is a senior loan against 311 West Monroe in the Chicago Loop (see Exhibit 4). This is a \$168MM loan that is carried below its unpaid principal balance ("UPB"). It also has a 42% specific loss reserve against it, leaving ACRE with a net exposure of \$68MM. The building has 392,000 square feet and was recently renovated. It is more than 90% occupied and has a weighted average lease term of more than 8 years. Having worked in this area for several years, I can say this is a mediocre building in a good location. It is adjacent to two of the best office buildings in Chicago, 71 South Wacker and 111 South Wacker, both of which make it look like Alpo in comparison. However, the property is generating a fair amount of cash flow and is likely to attract interest from CRE investors who have any degree of optimism about the Chicago office market. But is anyone willing to do a Chicago office deal right now? Yes. In fact, there have been two transactions announced within a two-block radius of ACRE's building in the last month alone. 500 West Monroe, a much larger and uglier building with significant vacancy sold in late June for just over \$100 per square foot. Meanwhile, 1 North Wacker Drive, a decent building (clearly nicer than ACRE's asset but not a trophy, in my opinion) is reportedly selling for \$357 per square foot. ACRE's current basis in 311 West Monroe is \$174 per square foot. Based on these recent and pertinent market comps, that mark looks about right to me. According to ACRE management, there is an active sales process under way. Given the interest in this particular neighborhood, a transaction could be imminent.

Exhibit 4 - 311 West Monroe Building



Source: Sterling Bay

The other significant troubled loan for ACRE is a Brooklyn condominium project called “The Bowen” (see Exhibit 5). I question the taste of the architect here, but the interior is modern and attractive, and the location is decent. ACRE has a senior loan against this property, the construction of which is nearly complete. ACRE has a \$180MM loan against this property, and a carrying value of \$137MM. Net of \$49MM of specific reserves, ACRE’s exposure to this loan is \$88MM. While I understand that construction will continue through Fall 2026, I believe the total exposure will cap out around \$100MM after ACRE funds all remaining construction costs. With 71 units in the building, ACRE only needs to sell the units, on average, for \$1.5MM (conservatively, considering all selling costs) in order to get its money out. The first units are being advertised at an average price of \$1.75MM, giving ACRE a bit of cushion. Just like the Chicago office loan, the Brooklyn condo loan appears to be marked at a reasonable level. Construction on the project will finish soon, and there is a good chance of ACRE being taken out of this loan shortly thereafter, because the New York housing market is strong.

Exhibit 5 - The Bowen Condo Development



Source: Property website

Resolving these two credits would be extremely beneficial to ACRE, as neither is currently accruing interest. As shown in Exhibit 6, if ACRE were to recover its marks on these two loans and redeploy the capital into new originations, it would generate at least \$0.04-\$0.06 (+33% - +50%) of incremental earnings per quarter.

Exhibit 6 - Incremental DEPS Calculation

Loans net of reserves	\$155.7
Recovery amount	100%
Redeployed assets	\$155.7
Yield on new origination	6.50%
Annual income	\$10.1
Shares outstanding	55.4
Quarterly DEPS	\$0.05

Of course, ACRE might not recover 100 cents on the dollar here, so I have sensitized the potential incremental earnings benefit in Exhibit 7.

Exhibit 7 - Incremental Quarterly DEPS Sensitivity Analysis

		Yield on New Originations					
		6.00%	6.50%	7.00%	7.50%	8.00%	
Recovery Rate	50%	\$ 0.02	\$ 0.02	\$ 0.02	\$ 0.03	\$ 0.03	
	60%	\$ 0.03	\$ 0.03	\$ 0.03	\$ 0.03	\$ 0.03	
	70%	\$ 0.03	\$ 0.03	\$ 0.03	\$ 0.04	\$ 0.04	
	80%	\$ 0.03	\$ 0.04	\$ 0.04	\$ 0.04	\$ 0.04	
	90%	\$ 0.04	\$ 0.04	\$ 0.04	\$ 0.05	\$ 0.05	
	100%	\$ 0.04	\$ 0.05	\$ 0.05	\$ 0.05	\$ 0.06	

This analysis assumes that ACRE has borrowed against these two loans on its revolving credit facility and that the newly-originated loans will come on at the same advance rate. Of course, this is conservative. I believe the advance rate on these two loans is considerably below what ACRE will get on newly-originated loans. This represents further upside.

ACRE is currently priced to yield ~13%, a price that suggests that a dividend cut is imminent. If ACRE is able to a) maintain the income on the remainder of its portfolio (I am open to debate on this point) and b) resolve the two large troubled assets and redeploy the proceeds into loans that are similar to what it has been originating recently, it can cover its full dividend in all but the worst case (50% recovery rate in the sensitivity above). In many cases, it could even think about raising its dividend from the current level. In either case, the stock price would react favorably to evidence that the current dividend is sustainable. A reduction to a 10% yield, assuming the current dividend level of \$0.15 per quarter, would translate to a stock price of \$6.

A 10% dividend yield, if perceived to be safe and fully covered, is a reasonable assumption for a business like ACRE. The company reported DEPS of \$0.12 in 1Q26. If it were to recover 100% of its net exposure to the two large troubled credits profiled above—which is definitely possible—then ACRE could earn \$0.17 per quarter. If it were to raise the dividend to \$0.68 per quarter and trade at a 10% dividend yield, that would imply a price of \$6.80, or 47% above the current price. While this is an upside case for me, it would still translate into a P/B ratio of only 0.76X. That is a low valuation for a company with a clean portfolio, which is essentially what ACRE will have once the two large troubled credits are resolved. However, achieving a P/B ratio north of that would require additional improvements in ROE, which I am not yet prepared to underwrite.

If ACRE resolves these two large troubled credits and still does not see an improvement in its trading price, there is another avenue it can pursue to unlock shareholder value. ARES could easily buy in the assets of ACRE with one of its many private funds. While such a move would require some management of conflicts of interest and optics, Apollo just used that same basic structure to acquire the assets of ACRE's close cousin, Apollo Commercial Real Estate (ARI). If ARES were uncomfortable pursuing a related-party transaction, it could easily sell to Apollo (or many other private credit funds). Right now, the two large troubled credits act as a poison pill. Once removed, ACRE's portfolio will look very appetizing to would-be acquirers, and the market will either appreciate that and re-rate the stock higher, or ARES will be pressured to follow Apollo's lead.

Risks:

- ARES can further neglect this vehicle and fail to resolve its troubled assets in a timely manner.
- ACRE can see negative migration in its performing portfolio, prolonging the "credit stabilization" moment.
- CRE fundamentals could weaken significantly, negatively impacting recovery values and limiting ACRE's ability to originate new loans.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Resolution of troubled credits
- Redeployment into new, performing loans
- Sale of portfolio or business

Messages

No messages